

PARTNERSHIP & EQUITY PARTICIPATION AGREEMENT

— VERSION 2 /
Date / : 29 May 2026 · CONFIDENTIAL /

BETWEEN / 〇〇〇〇

FOUNDER /	PARTNER /
KIERAN LI (LI, Chi Nok) / Founder & Director, SIMPLEX-ITY Branch of 5SENSESBEAUTY LIMITED Rm 1608, 16/F APEC Plaza, Kwun Tong BR No: 78459506-001-07-25-A ("the Founder" /)	WILSON [FULL LEGAL NAME TBC] Operations Partner, SIMPLEX-ITY Address / : [TBC] HKID No / : [TBC] ("the Partner" /)

PREAMBLE / 〇〇

This agreement upgrades the relationship from initial trial period (Months 1–3) into a formal structured partnership commencing Month 4 (June 2026). The Founder has borne all development and operational costs during the first three months. The Partner contributed time, skills, and execution capacity. Equity participation is now earned through defined operational milestones, government funding success, and sustained commitment.

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1. PURPOSE / 〇〇〇〇

- 1.1 This agreement formalises the operational and equity participation arrangement between both parties in the building and development of SIMPLEX-ITY. / SIMPLEX-ITY
- 1.2 The Partner's primary role is Operations Director — ensuring company operations, legal compliance, and platform efficiency. Business development and client direction remain under the Founder's leadership. /
- 1.3 This agreement supersedes all prior verbal or informal arrangements. /

2. PARTNER'S CORE RESPONSIBILITIES / 〇〇〇〇〇〇〇〇

PHASE A — FOUNDATION / 〇A〇〇 — 〇〇〇〇〇〇〇〇〇〇〇〇〇〇

- 2.1 Office setup and day-to-day facility management /
- 2.2 Corporate bank account opening and ongoing management /
- 2.3 Government funding research, application and follow-through — BUD Fund, TVP, ESF / BUD
- 2.4 Financial record-keeping, bookkeeping, and expense management /
- 2.5 Tax filing, profits tax compliance, and MPF administration /
- 2.6 Company secretarial coordination and legal document management /

PHASE B — PLATFORM & NETWORK OPERATIONS / 〇B〇〇 — 〇〇〇〇〇〇〇〇

- 2.7 Operational platform setup and day-to-day maintenance /
- 2.8 Trial operation period supervision and testing /
- 2.9 External coordination with vendors, partners, and government bodies /
- 2.10 Network support staffing, team management, and workflow administration /

3. MINIMUM COMMITMENT / 〇〇〇〇〇〇〇

- (a) Attend weekly internal meetings (in person or online) /
- (b) Submit monthly operations report covering: finance, platform status, administration /

(c) Non-compete: Partner shall not work for or hold interest in a competing business during the term /

(d) Provide 14 calendar days' written notice to discontinue / 14

4. EQUITY PARTICIPATION STRUCTURE / 股权结构

Structure: Equity begins as Phantom Equity — financial rights equivalent to shareholding, without formal share issuance. Formal share transfers occur at defined milestones. This protects the Founder's legal ownership while fully honouring the Partner's earned participation.

Tranche	Period	Equity	Key Conditions / 关键条件	Formal Action / 正式行动
1	Month 4–6 Jun–Aug 2026	3% Phantom	· Bank a/c + office complete · 2+ funding applications submitted · Platform trial run live · 3 monthly reports delivered · ++2+	Founder issues written phantom equity confirmation letter
2	Month 7–12 Sep 2026– Feb 2027	4% Formal Shares	· 1+ funding scheme approved · Platform fully operational & stable · Financial records current · Full-time commitment maintained · 1+	Share transfer — Partner formally registered at 4% in 5SENSESBEAUTY LIMITED 4%
3	Month 13–18 Mar–Aug 2027	5% Formal Shares (Total 12% 12%)	· HKD 300,000+ funding secured · Company self-sustaining · All compliance/tax/MPF fulfilled · Full-time contribution continues · 30+	Second share transfer — total shareholding increased to 12% 12%

5. GOVERNMENT FUNDING — SPECIAL PROVISIONS / 政府资助特别规定

5.1 Securing government funding is a core KPI of this partnership. /

5.2 All funding secured shall be used for company operational expenses as mutually agreed. Partner shall not divert or misuse any funding without Founder's written consent. /

5.3 Failure to obtain funding due to circumstances beyond the Partner's reasonable control shall not constitute a breach, provided genuine and documented efforts were made. /

5.4 Surplus funding shall be reinvested into the company unless otherwise agreed in writing. /

6. SHARE TRANSFER MECHANICS / 股权转让机制

6.1 Phantom Equity Phase (Months 4–6): No formal shares issued. Founder issues a written letter confirming 3% phantom equity entitlement, which converts to formal shares upon Tranche 2 conditions being met. /

6.2 First Formal Transfer (Month 12): Founder instructs Company Secretary to prepare a share transfer form. Partner formally registered as 4% shareholder in 5SENSESBEAUTY LIMITED. All stamp duty and legal fees borne by the company. / 12

6.3 Second Formal Transfer (Month 18): Further share transfer executed, increasing Partner's total registered shareholding to 12%. / 18 12%

6.4 All transfers conducted in accordance with the Companies Ordinance (Cap. 622) and properly documented with the Companies Registry. / 622

7. TERMINATION & EXIT / 终止与退出

7.1 Either party may terminate by providing 30 calendar days' written notice. / 30

7.2 Upon Partner termination: (a) All unvested phantom equity immediately cancelled. (b) Formally transferred shares retained by Partner, subject to Founder's Right of First Refusal at fair market value before any third-party sale. /

7.3 Termination for cause (misconduct, breach, misuse of funds): All equity may be clawed back at Founder's discretion. /

7.4 Partner shall return all company property, devices, and confidential materials within 7 calendar days of termination. /7

8. CONFIDENTIALITY & NON-COMPETE / 保密及不競爭

8.1 Both parties maintain strict confidentiality regarding all business operations, client relationships, financial information, platform data, and strategies during and for 2 years after the term. / 2

8.2 Partner shall not, during the term and 12 months after termination, engage in any business directly competing with SIMPLEX-ITY in Hong Kong or the Greater Bay Area. / 12

9. INTERNATIONAL REFERENCE PROVISIONS / 國際參考

Drawn from UK / US / EU startup partnership best practices /

9.1 Good / Bad Leaver (UK/US): Good Leaver (health, family, mutual agreement) retains vested shares at full value. Bad Leaver (cause, breach, competing) forfeits unvested equity; vested shares subject to buyback at par. /

9.2 Drag-Along Right (US/EU): If Founder receives a bona fide 100% acquisition offer, Partner agrees to sell shares on same terms. / 100%

9.3 Tag-Along Right (US/EU): If Founder sells majority shareholding, Partner has right to sell shares under same terms. /

9.4 Anti-Dilution (US): Partner's percentage shall not be diluted below 5% without written consent, provided all vesting conditions are met. / 5%

9.5 IP Assignment: All IP, technology, tools, processes, and systems created by Partner in course of role belong solely to 5SENSESBEAUTY LIMITED. / 5SENSESBEAUTY LIMITED

10. DISPUTE RESOLUTION / 爭議解決

10.1 Both parties attempt good faith negotiation within 14 days of written notice of dispute. / 14

10.2 If unresolved, submit to mediation in Hong Kong before commencing any legal action. /

10.3 This agreement is governed by the laws of Hong Kong SAR. /

SIGNATURES / 簽署

FOUNDER /	PARTNER /
Name / : KIERAN LI (LI, Chi Nok)	Chosen Name / : _____
Signature / : _____	Legal Name / : _____
Date / : _____	HKID: _____
	Signature / : _____
	Date / : _____
WITNESS / (Recommended /)	

Name / : _____ Signature / : _____ Date / : _____	
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ADDENDUM A — MILESTONE VERIFICATION CHECKLIST / 附A — 里程碑清單

To be completed and signed by both parties at the end of each Tranche period. /

TRANCHE 1 / 附A — 3% (Phantom Equity / 附A)

Month 6 — August 2026 / 2026年8月

- Bank account opened /
- Office operational /
- 2+ government funding applications formally submitted / 2
- Platform trial run completed /
- 3 monthly operations reports submitted / 3

Founder sign-off / : _____ Date / : _____	Partner sign-off / : _____ Date / : _____
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TRANCHE 2 / 附A — 4% (Formal Shares / 附A)

Month 12 — February 2027 / 2027年2月

- 1+ government funding scheme successfully approved / 1
- Platform fully operational and stable /
- Financial records up to date and auditable /
- Partner actively committed full-time /

Founder sign-off / : _____ Date / : _____	Partner sign-off / : _____ Date / : _____
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TRANCHE 3 / 附A — 5% (Formal Shares / 附A) — TOTAL 12% / 附A

Month 18 — August 2027 / 2027年8月

- HKD 300,000+ in government funding secured / 30
- Company self-sustaining and fully operational /
- All compliance, tax, and MPF obligations fulfilled /
- Partner continues full-time active contribution /

Founder sign-off / : _____ Date / : _____	Partner sign-off / : _____ Date / : _____
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LEGAL DISCLAIMER / : This document is a draft for discussion purposes only. It is strongly recommended that both parties seek independent legal advice from a qualified Hong Kong solicitor before signing. Share transfers must comply with the Companies Ordinance (Cap. 622) and may require Companies Registry approval and payment of stamp duty. / 622

Fallback note: Document produced using Exo 2 (headlines) and Montserrat (body) per SIMPLEX-ITY Brand Guidelines BX-01 v1.0 April 2026.